

TRADE REVIEW

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Name: Lam Research Corp (LRCX)

Entry: Dec 19, 2025

Style: Top-Down Swing

Risk: ~1%

Setup

Going into year-end, many funds had already locked in gains, which made risk-taking more selective. The market had been choppy, with SPX in a moderately negative gamma regime into a large OPEX.

I'm top-down, so the first question is which index is performing best. The Russell 2000 was up the most on the day but did not close over the control bar from Wednesday. Both NDX and SPX did, with NDX outperforming (60 bps vs 44 bps).

On a longer timeframe, the Nasdaq had not been leading, but on shorter timeframes I liked the setup as we closed above peak VWAP and the 55 SMA which I use as a demarcation for institutional support. From there, I looked at Nasdaq sectors and saw SOXX outperforming. Drilling down further, LRCX stood out within SOXX as it was breaking out and hitting all-time highs on volume.



Figure 1: LRCX breaking out all-time highs on massive volume.

Thesis

LRCX was the clear leader in semis:

- ATH close on large volume while NDX and SOXX were not at highs.
- RVOL ~3.5x on a Friday close, which carries more weight in my process.
- Clean breakout.

MU had earnings on Wednesday and knocked the cover off the ball. SNDK also crushed a while

back, and both highlighted massive demand for DRAM and NAND alongside ongoing shortages. LRCX benefits significantly from this, as roughly 35% of its business is tied to these areas.

This is a major theme, and something I want to be involved in.

Execution & Risk

Standard swing trade.

- Used a staggered stop, with part at the low of the bar at \$166 and the remainder at \$162.
- I risked \$5.7 on half and \$9.5 on the other half, or roughly \$7.6 net. I did this because I wanted to control more stock if I was right.

Using a single \$166 stop on the full position would have been less than a 1 ATR move and could have resulted in getting stopped out on noise. While I believed the level should hold and it should push, a quick shakeout was possible. The staggered stop allowed me to size appropriately while keeping flexibility to add back if I were stopped on part of the position and price reclaimed highs.

I likely would have used \$166 on the full position if we had a clean white marubozu candle, but we instead got a wick.

Position was sized at ~1% account risk.

Management

On a breakout trade like this, I normally look for a quick push. Given the environment, moderately negative gamma into OPEX followed by a flip to positive gamma the following week. It made more sense for the stock to grind rather than explode.

The stock went sideways for about a week and then made a strong move into the CES event. After that move, there was nothing to do but sit back and watch the trade.

At this point, I was up roughly \$50 per share, or around 6–7R. This had become a large trade for me, so trimming made sense. Up until then, nothing was wrong, but a negative divergence began developing on the 4-hour, which was my first sign of potential exhaustion.

Once I saw that, I planned to trim as soon as it undercut the prior day's low, which it eventually did. I trimmed a portion of the position at that point to lock something in while still giving the trade room to continue working.

Following TSM earnings, the stock made another strong move. I've moved the stop on the remaining position to the recent low at \$206. If it closes below that level, I would lock in the gain, as it would be making a lower low.

Ongoing Plan

I'm not in a rush to do anything here. As long as trend holds, I'm letting the trade work and leaving it alone.

I'm using the recent low around \$206 as my stop. If the stock closes below that level, I would lock in the gain.

Appendix: Supporting Price Action



Figure 2: 4-hour chart showing the negative RSI divergence used as a signal for trimming.